

submission, stated the entity was a yogi or a spiritual being who “dwelt in the Himalayan ranges”. Now, spiritual babas and yogis are not uncommon in India, especially those who draw devotees from the political milieu. But this was perhaps the first time that an order from Sebi stated that a stock exchange honcho was allegedly sharing confidential information with a Himalayan yogi.

Ever since, public discourse of this “spiritual force” has effectively dwarfed the larger issue of how a scam or fraud of such magnitude was perpetrated at India’s biggest bourse—and the world’s largest derivatives exchange, which itself is a first-level regulator and is, at the same time, tightly regulated by Sebi.

Scam or Scandal?

Subramanian was brought on board at NSE in April 2013 and Sebi was, informally, well aware of his appointment. More importantly, the regulator received complaints in December 2015, but it was only in October and December 2019 that show-cause notices were issued to NSE, Ramkrishna, Subramanian and others. That was late. Ramkrishna had moved out of the exchange in December 2016, even getting monetary benefits of ₹1.54 crore for her “sterling contribution to the growth of the organisation” (although another component was retained by NSE), and Narain and Subramanian exited in June 2017 and October 2016, respectively.

Prior to joining NSE, Subramanian was working with a subsidiary of Kolkata-headquartered PSU Balmer Lawrie, where his annual package was less than ₹15 lakh. Ramkrishna hired him at NSE in 2013 at ₹1.68 crore, which zoomed to ₹4.21 crore in 2016. By then, he had risen to the post of ‘Group Operating Officer and Advisor to MD’. His perks, entitlements and work terms—four days a week in office only, etc.—also showed that he enjoyed unusual privileges. While there are various theories about Ramkrishna’s equation with Subramanian, the fact is that his wife Sunitha Anand was a good friend of Ramkrishna’s. Interestingly, Sunitha, who worked at NSE’s Chennai office, also saw her



HIDES MORE THAN IT REVEALS

- ▶ Did Sebi put in full efforts to find the identity of the “unknown person”?
- ▶ Why was any external agency not involved in unearthing the identity of this individual?
- ▶ With email ID and interactions available, why was the Cyber Crime Cell of Mumbai Police not involved?
- ▶ Were the salacious details necessary to be included in the order?
- ▶ What was the intent behind mentioning irrelevant or immaterial facts?



RED FLAGS IN NRC REPORT

- ▶ NSE’s NRC submitted a report to Sebi in 2017
- ▶ Anand Subramanian was offered the role of Chief Strategic Advisor with effect from April 1, 2013
- ▶ Only Chitra Ramkrishna interviewed Anand Subramanian
- ▶ No noting in personnel file of Anand Subramanian regarding his interview
- ▶ Chief Strategic Advisor’s post was not advertised; no other person was considered either
- ▶ Anand Subramanian’s previous experience was not relevant to the role of Chief Strategic Advisor

Source: Sebi



PENALTY & RESTRAINT

- ▶ Chitra Ramkrishna and Anand Subramanian cannot work with any Sebi-regulated intermediary for three years
- ▶ NSE cannot launch any new product for six months
- ▶ Ravi Narain barred from working with any Sebi-regulated intermediary for two years
- ▶ Monetary penalties imposed on NSE, Chitra Ramkrishna and Anand Subramanian
- ▶ NSE ordered to forfeit certain perks that it withheld from Chitra Ramkrishna

Source: Sebi



THE UNKNOWN PERSON

- ▶ Sebi order mentions “unknown person” nearly 240 times
- ▶ EY forensic audit report states Anand Subramanian is the unknown person
- ▶ Sebi differs with EY report’s finding on identity of the unknown person
- ▶ Sebi probe finds that Chitra Ramkrishna shared confidential information with this unknown person
- ▶ Chitra Ramkrishna’s submission to Sebi states that the unknown person is a yogi (a spiritual entity) in the Himalayan ranges

Source: Sebi